MICROMAX SUGAR MILLS ERP · COSTING GUIDE

Costing — cost of production

Process costing with by-product credit: cane cost + processing cost – by-product credit (NRV) = net cost of sugar, per kg, per 50 kg bag and per ton of cane — provisional every day, final in the month-end costing run.

1 · NRV
By-product rates per season.

2 · Allocation
Service departments shared out.

3 · Budget
Processing cost per ton.

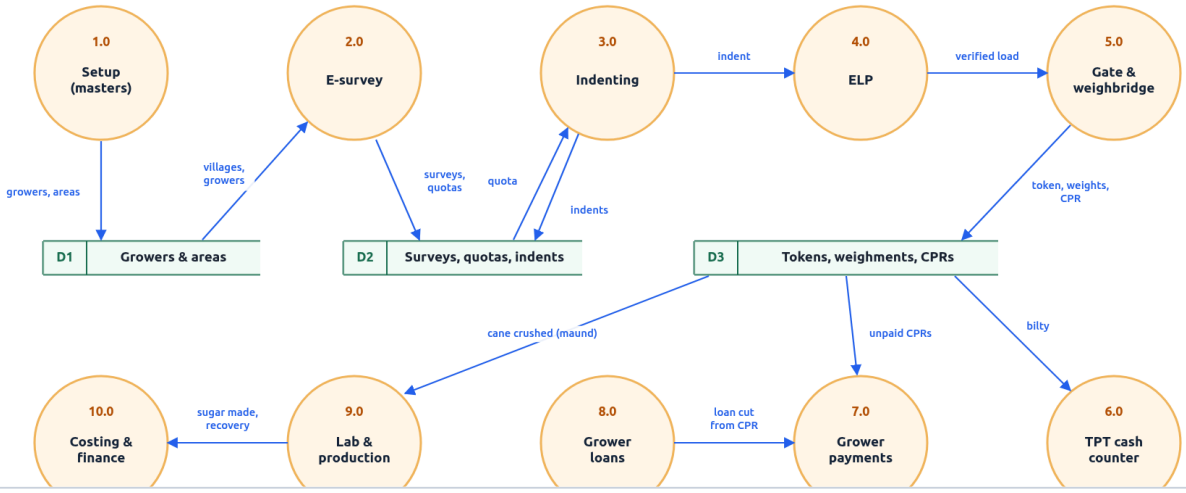
4 · Daily
Provisional cost per bag.

5 · Month end
Costing run, revalue stock.

Who: **Cost Accountant** (rates, rules, costing runs), **Accounts Manager** (expenses to cost centres), **Management** (reports).

DFD level 1 — MicroMax Sugar Mills ERP

1–5 cane in (setup → gate) · 6–10 pay, lend, produce, cost

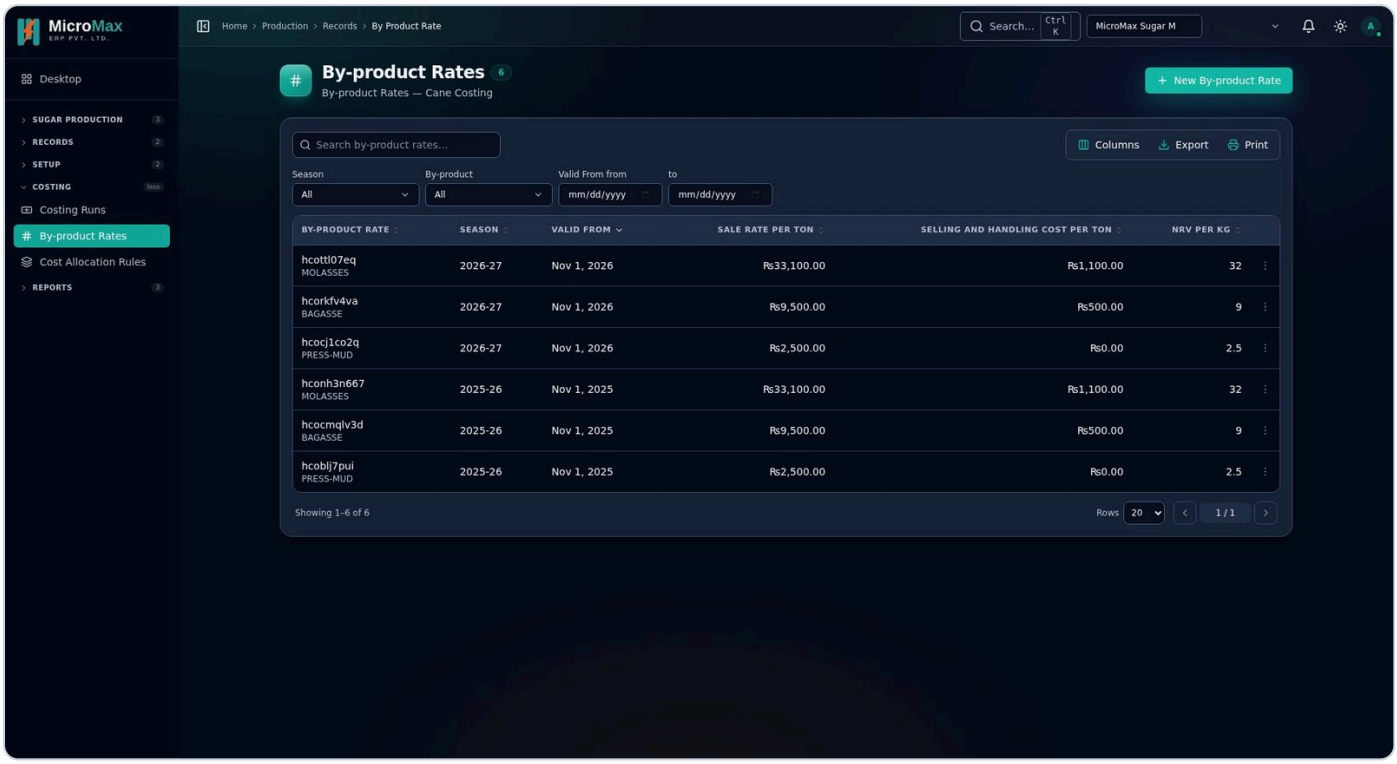


DFD level 1 of the whole ERP — lab & production (9.0) and costing (10.0) at the end of the cane flow.

1 · Before the season

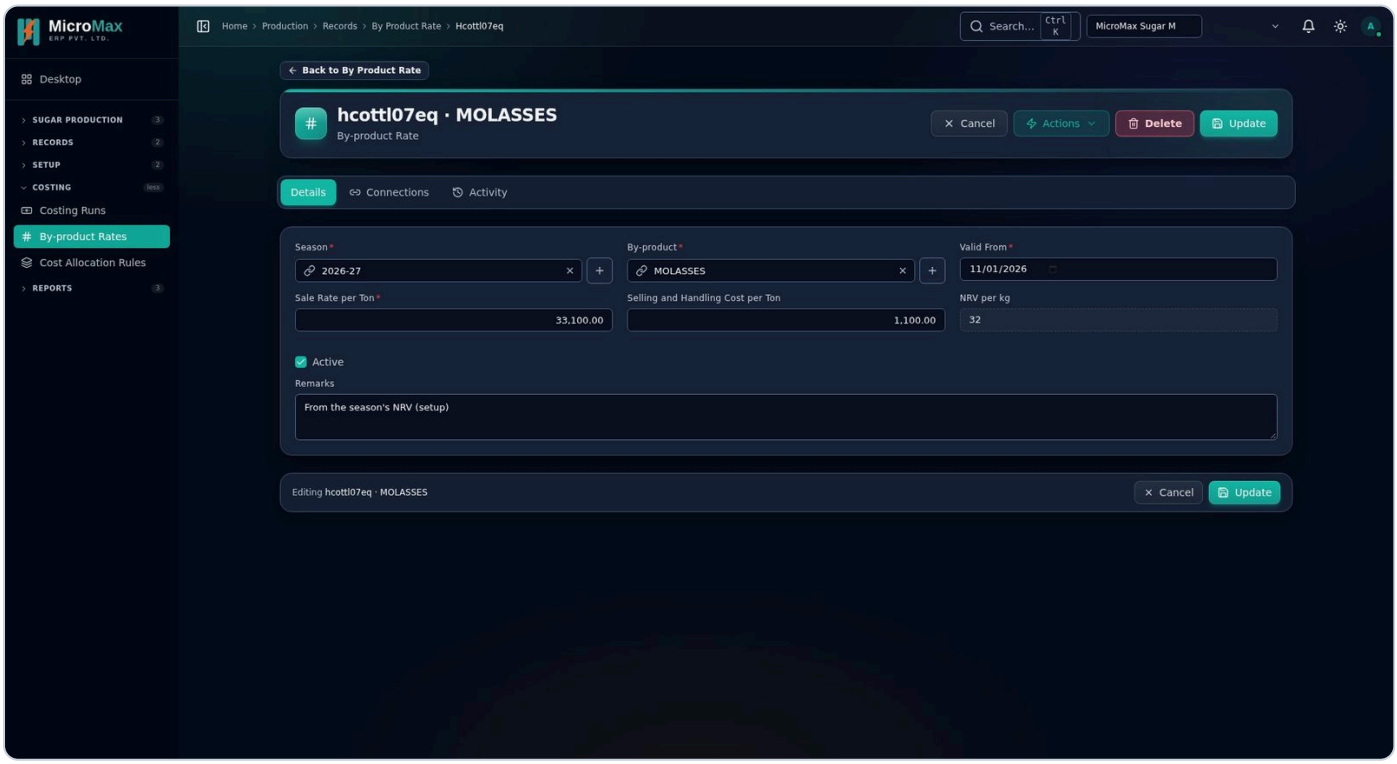
1 By-product rates

Production → Costing → By-product Rates: per season and by-product, the sale rate and selling cost per ton; the NRV per kg is worked out.



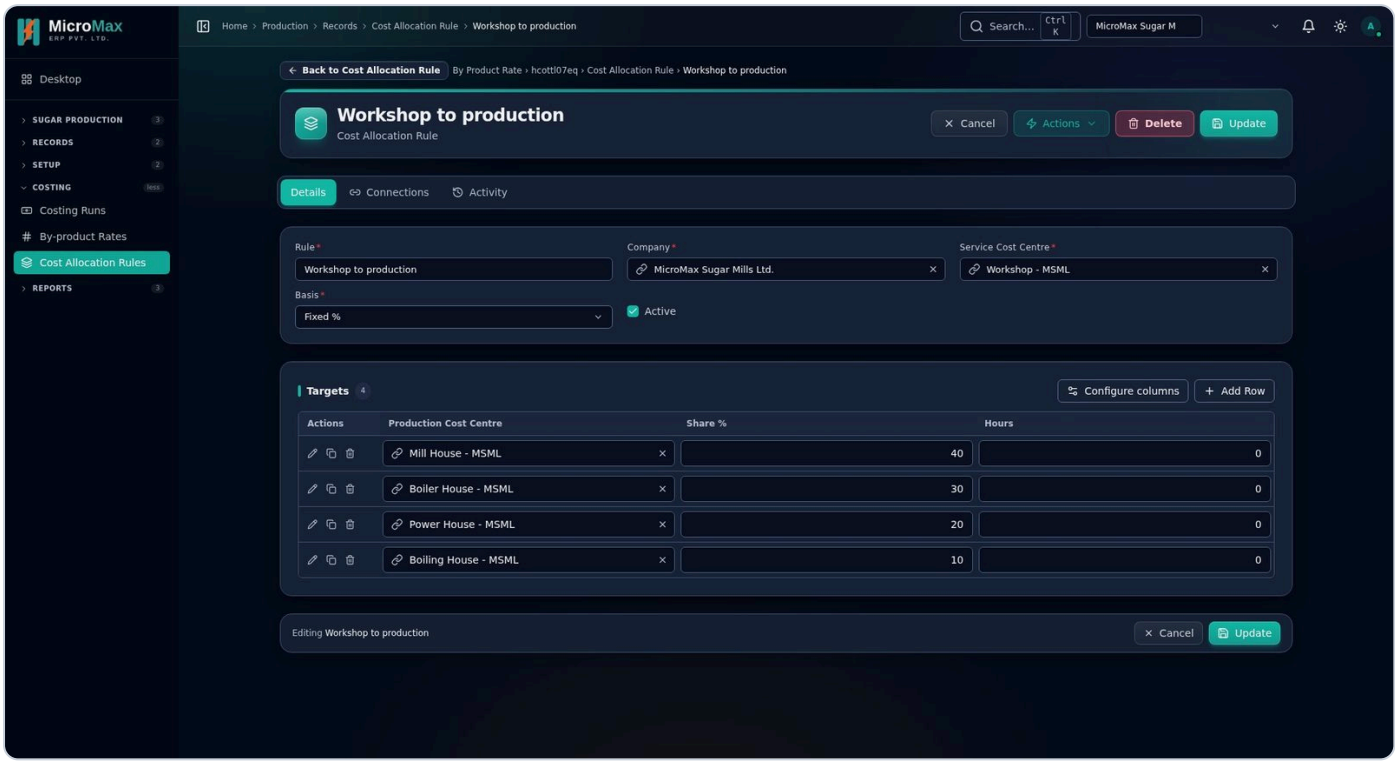
2 Molasses 2026-27

Rs 33,100 a ton less Rs 1,100 selling cost = NRV Rs 32 a kg, valid from 1 November.



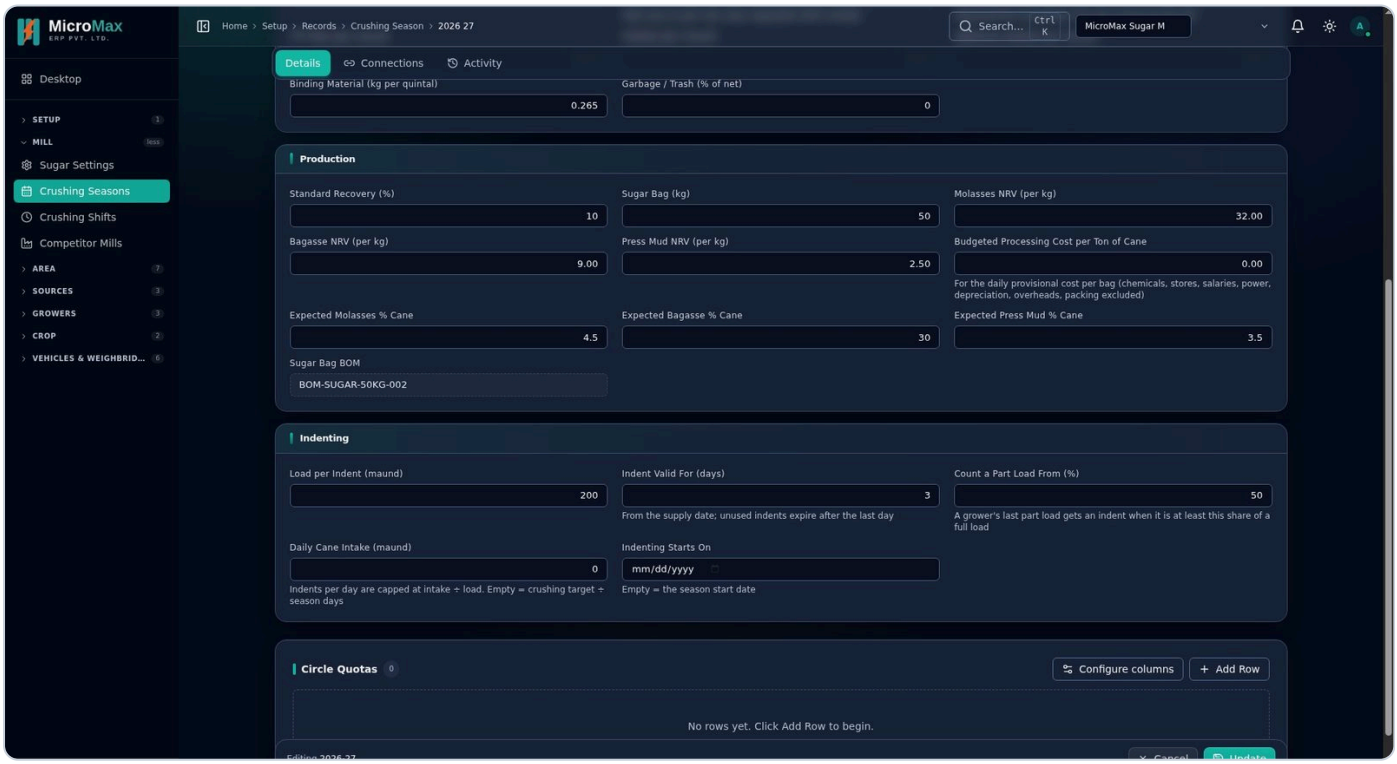
3 Cost allocation rules

How Workshop, Stores and Administration are shared out to the production departments: fixed %, equal, or by hours.



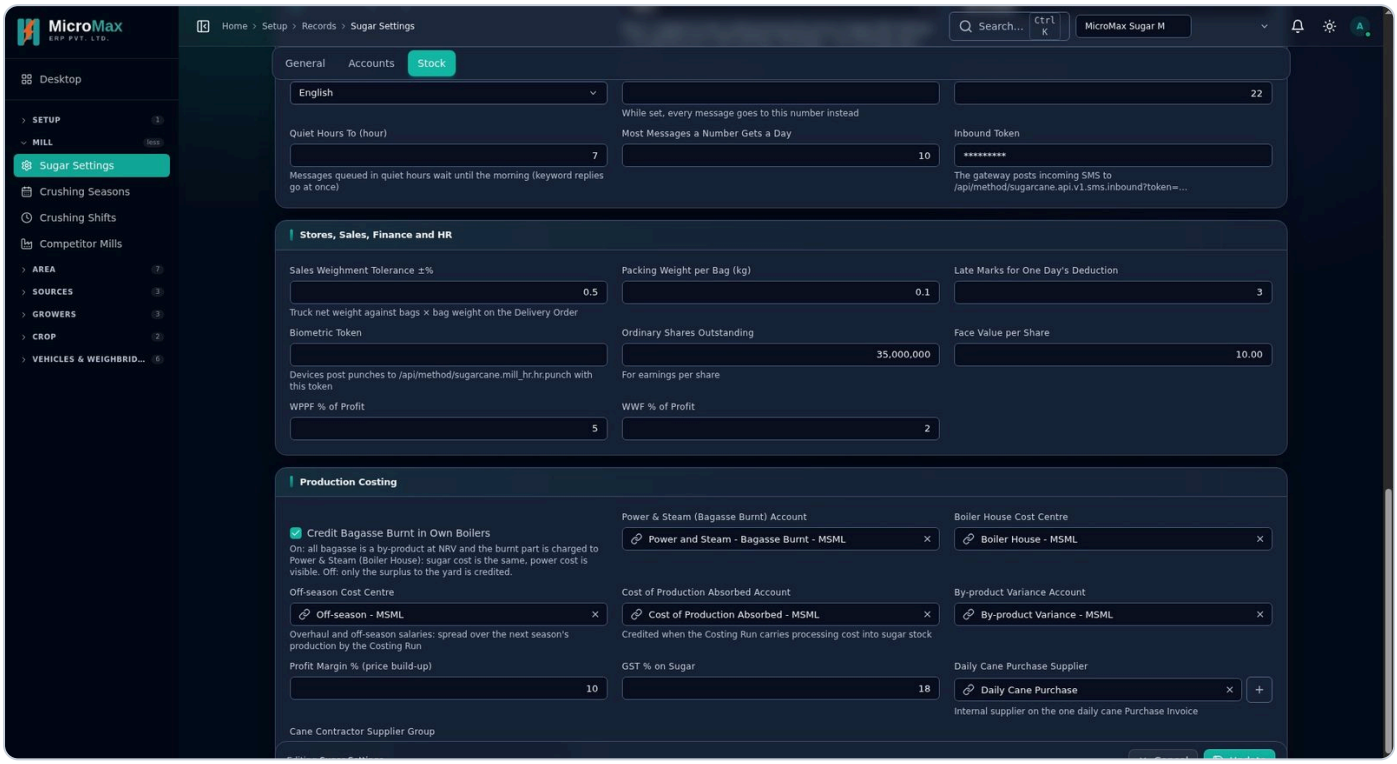
4 Budgeted processing cost

Crushing Season → Budgeted processing cost per ton of cane gives each day its provisional cost.



5 Sugar Settings — Production Costing

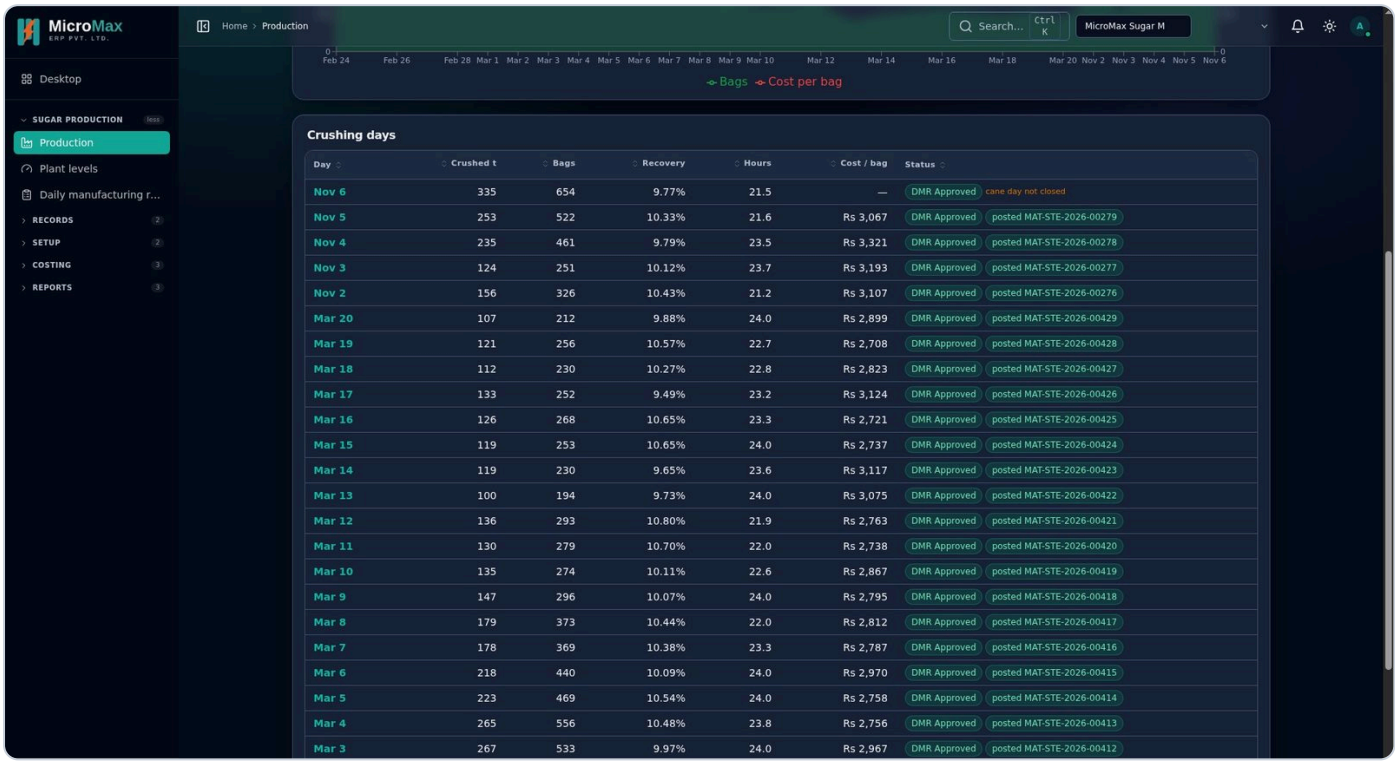
Boiler house and off-season cost centres, cost of production absorbed account, profit margin % and GST % on sugar.



2 · Every day and month end

6 Provisional cost per bag

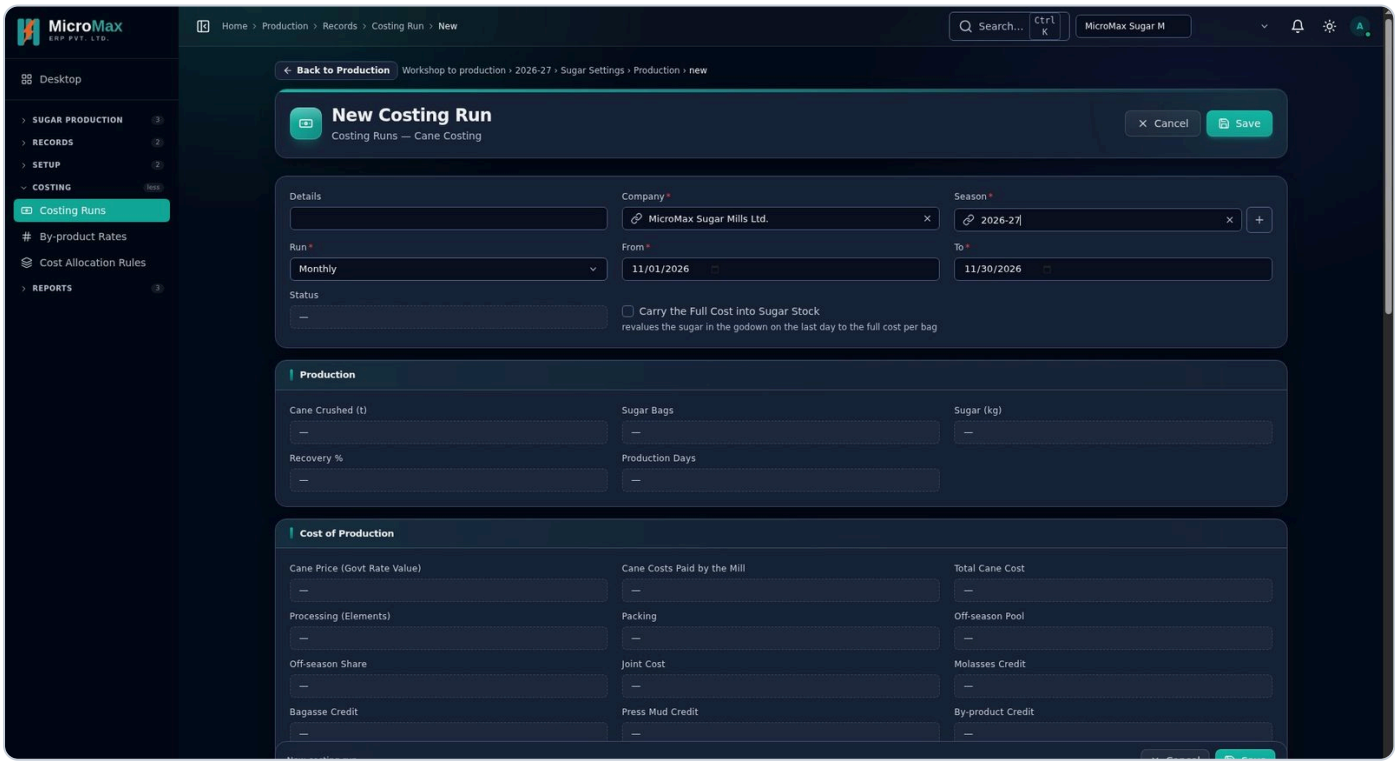
Each posted production day: stock cost + the mill's own cane costs + budgeted processing per ton.



Day	Crushed t	Bags	Recovery	Hours	Cost / bag	Status
Nov 6	335	654	9.77%	21.5	—	DMR Approved cane day not closed
Nov 5	253	522	10.33%	21.6	Rs 3,067	DMR Approved posted MAT-STE-2026-00279
Nov 4	235	461	9.79%	23.5	Rs 3,321	DMR Approved posted MAT-STE-2026-00278
Nov 3	124	251	10.12%	23.7	Rs 3,193	DMR Approved posted MAT-STE-2026-00277
Nov 2	156	326	10.43%	21.2	Rs 3,107	DMR Approved posted MAT-STE-2026-00276
Mar 20	107	212	9.88%	24.0	Rs 2,899	DMR Approved posted MAT-STE-2026-00429
Mar 19	121	256	10.57%	22.7	Rs 2,708	DMR Approved posted MAT-STE-2026-00428
Mar 18	112	230	10.27%	22.8	Rs 2,823	DMR Approved posted MAT-STE-2026-00427
Mar 17	133	252	9.49%	23.2	Rs 3,124	DMR Approved posted MAT-STE-2026-00426
Mar 16	126	268	10.65%	23.3	Rs 2,721	DMR Approved posted MAT-STE-2026-00425
Mar 15	119	253	10.65%	24.0	Rs 2,737	DMR Approved posted MAT-STE-2026-00424
Mar 14	119	230	9.65%	23.6	Rs 3,117	DMR Approved posted MAT-STE-2026-00423
Mar 13	100	194	9.73%	24.0	Rs 3,075	DMR Approved posted MAT-STE-2026-00422
Mar 12	136	293	10.80%	21.9	Rs 2,763	DMR Approved posted MAT-STE-2026-00421
Mar 11	130	279	10.70%	22.0	Rs 2,738	DMR Approved posted MAT-STE-2026-00420
Mar 10	135	274	10.11%	22.6	Rs 2,867	DMR Approved posted MAT-STE-2026-00419
Mar 9	147	296	10.07%	24.0	Rs 2,795	DMR Approved posted MAT-STE-2026-00418
Mar 8	179	373	10.44%	22.0	Rs 2,812	DMR Approved posted MAT-STE-2026-00417
Mar 7	178	369	10.38%	23.3	Rs 2,787	DMR Approved posted MAT-STE-2026-00416
Mar 6	218	440	10.09%	24.0	Rs 2,970	DMR Approved posted MAT-STE-2026-00415
Mar 5	223	469	10.54%	24.0	Rs 2,758	DMR Approved posted MAT-STE-2026-00414
Mar 4	265	556	10.48%	23.8	Rs 2,756	DMR Approved posted MAT-STE-2026-00413
Mar 3	267	533	9.97%	24.0	Rs 2,967	DMR Approved posted MAT-STE-2026-00412

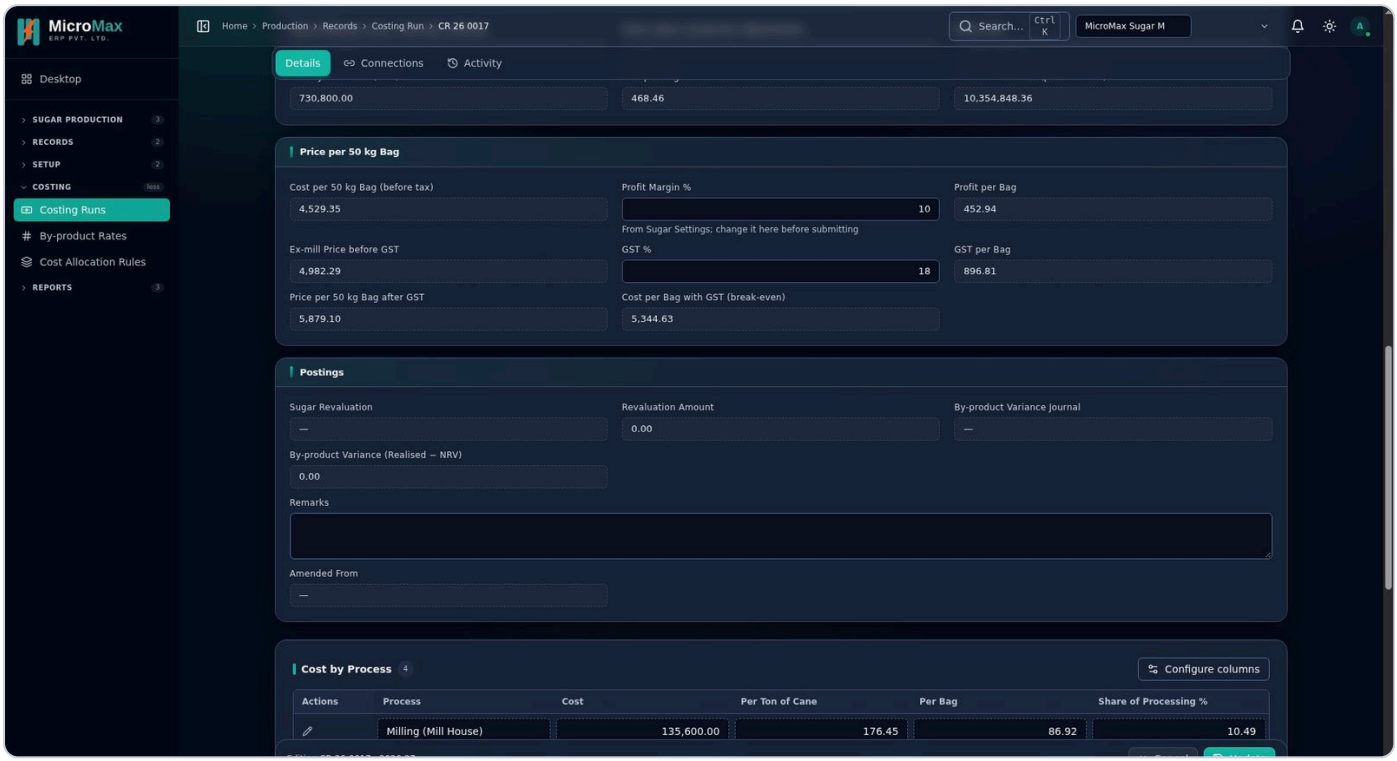
7 New costing run

Production → Costing Runs → New: the season, run type **Monthly**, the month's dates. Book every expense to its cost centre first.



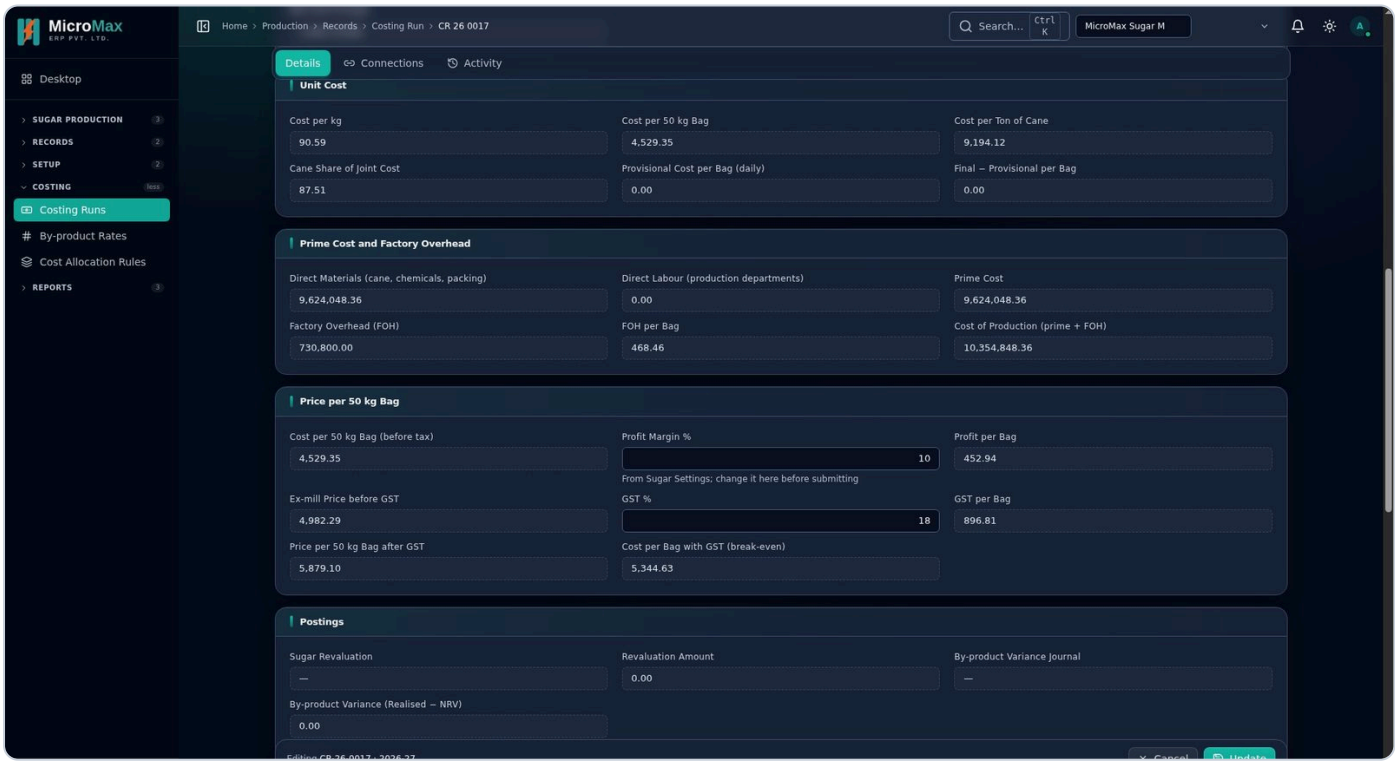
8 Cost of production

Cane price and the mill's cane costs, processing, packing, the off-season share and the by-product credit → net cost.



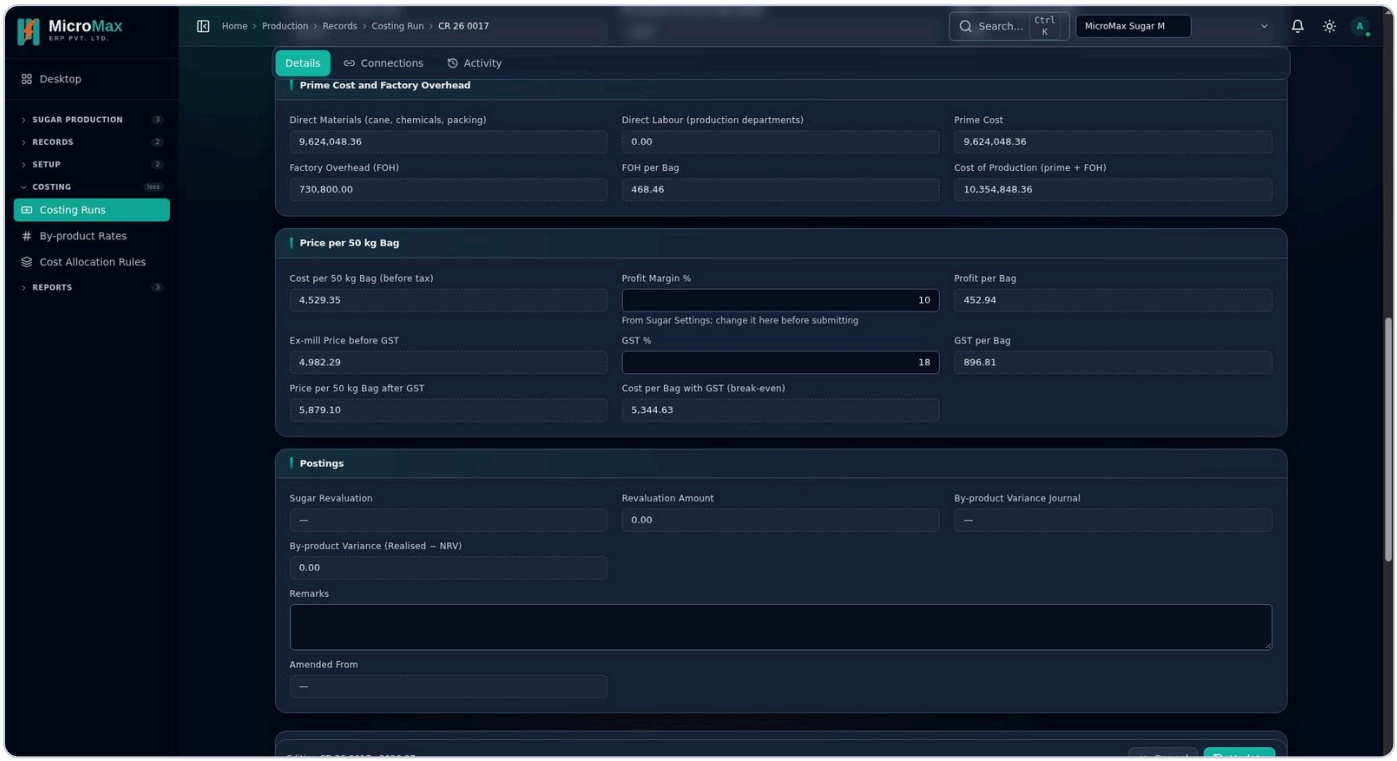
9 Unit cost

Per kg, per 50 kg bag and per ton of cane; the final cost against the provisional per bag.



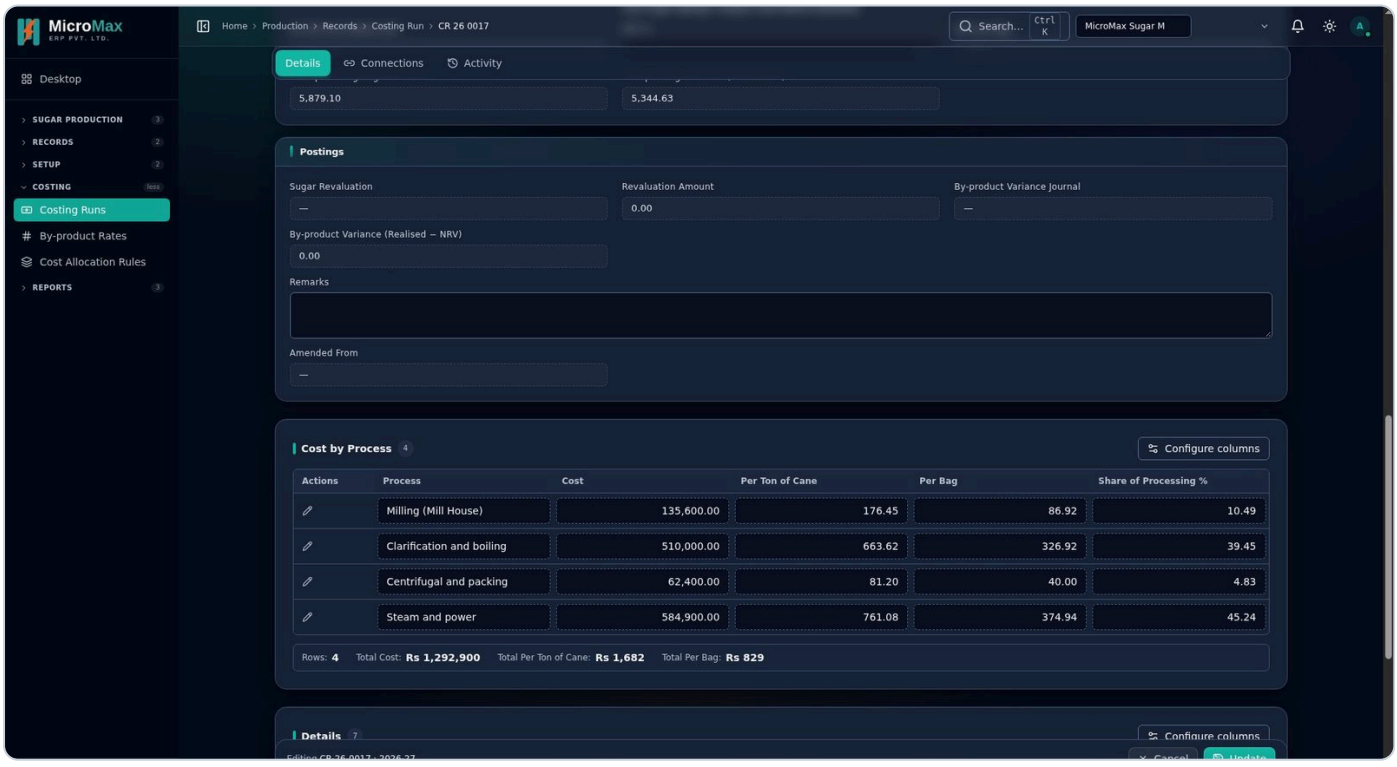
10 Prime cost and factory overhead

Direct material + direct labour = prime cost; + factory overhead = cost of production.



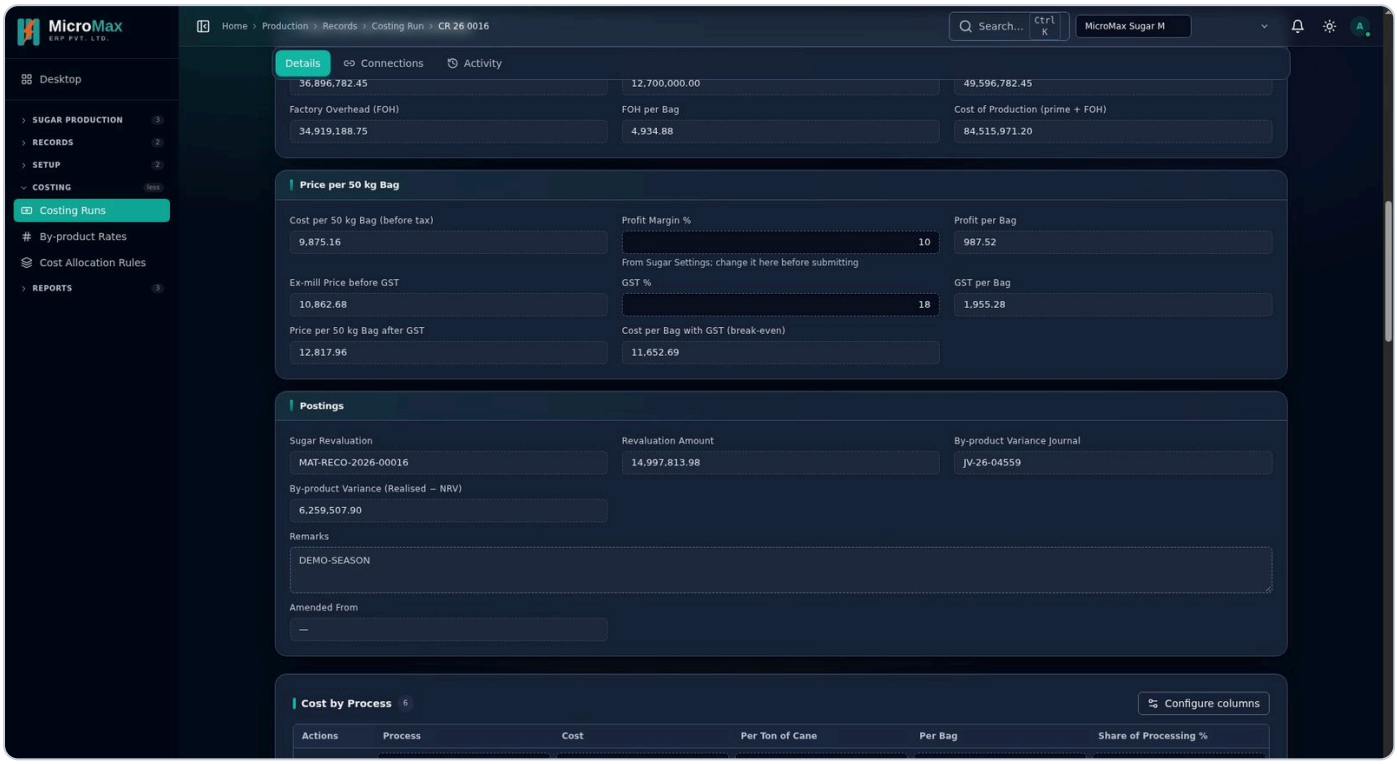
11 Price per 50 kg bag

Cost before tax + profit margin = ex-mill price; + GST = price after GST (Rs 5,879); cost with GST is the break-even. Below it, the cost by process per ton of cane and per bag.



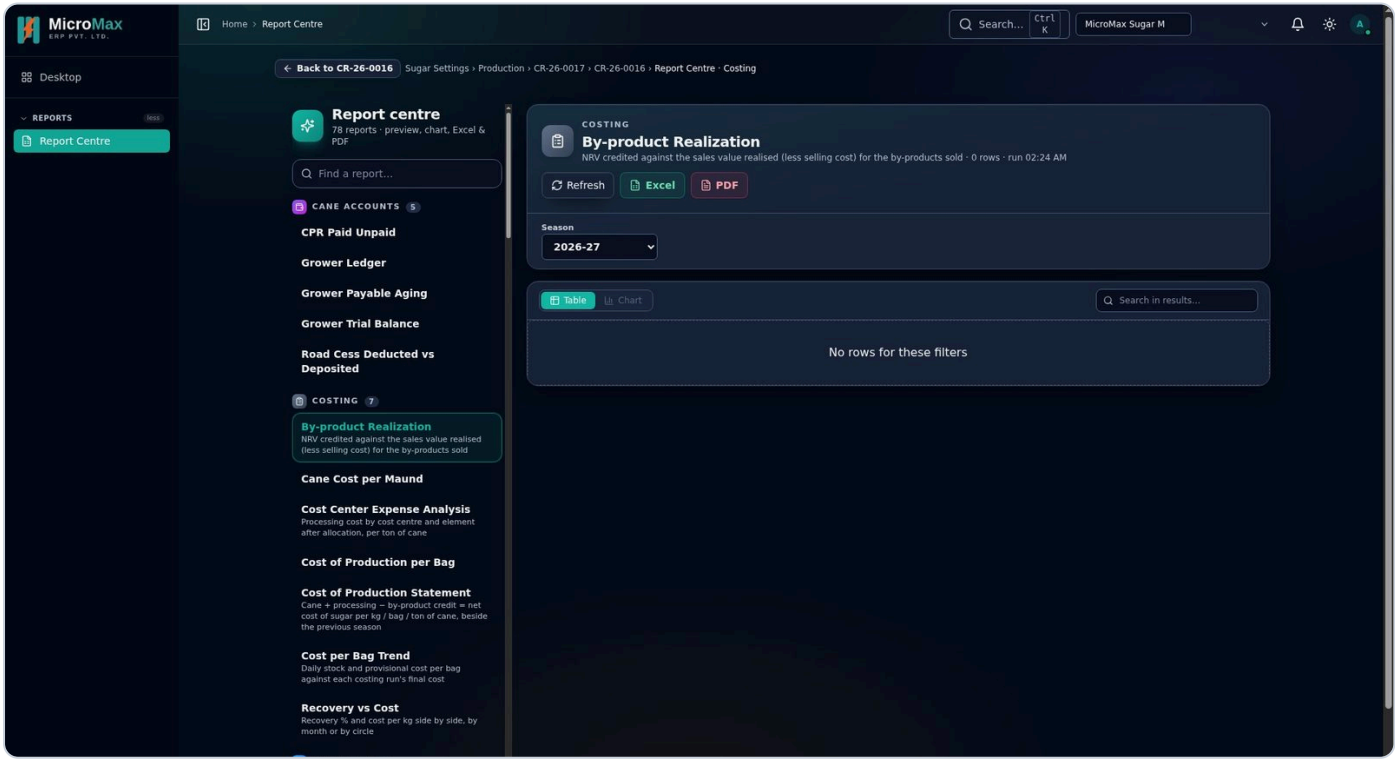
12 Season close

The last run of the season: ends on the season's last day, takes the rest of the off-season pool and moves each by-product's variance.



13 Costing reports

Cost of Production Statement (beside last season), Cost per Bag Trend, Recovery vs Cost, By-product Realization, Cost Center Expense Analysis.



If something goes wrong

You see	Do this
Provisional cost per bag is 0	Enter the season's budgeted processing cost per ton.
By-product credit is 0	Add a By-product Rate for the season valid on the production day.
Processing cost looks low	Book every expense of the month to a cost centre (payroll, power, repairs, store issues).
Stock not revalued after submit	Tick *Carry the full cost into sugar stock* on the run.

Screens from the MicroMax test system with demo data (2 November 2026).